



Guidelines for Operation of Segment Dedicated to Socially Responsible Investment Bonds

Formulated on December 31, 2019

Amended on

January 22, 2021; November 23, 2021

September 20, 2022

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CHAPTER I. GENERAL PROVISIONS

§1. Purpose

The purpose of these Guidelines is to define the general requirements for the Korea Exchange to operate a segment dedicated to Socially responsible investment bonds.

§2. Definitions

(Amended on September 20, 2022)

The terms used in these Guidelines shall be defined as follows:

1. The term “socially responsible investment bond” means green bonds, social bonds, sustainability bonds, and sustainability-linked bonds.
2. The term “green bond” means debt securities (including debt-security beneficiary certificates pursuant to [§111] of the KOSPI Market Listing Regulation; the same hereinafter) issued to raise funds for investment in environmentally friendly projects or social infrastructure.
3. The term “social bond” means debt securities issued to raise funds to invest in social value creation business.
4. The term “sustainability bond” means debt securities issued to raise funds for investment in businesses that are environmentally friendly and create social value.
5. The term “sustainability-linked bonds” means debt securities of which the financial and/or structural characteristics can vary depending on whether the predefined sustainability performance objectives are achieved.
6. The term “use-of-proceeds bond” means debt securities falling under any of Subparagraphs 2 through 4.
7. The term “socially responsible investment bond-dedicated segment” means the Internet homepage and similar information media (hereinafter referred to as “dedicated segment”) operated by the Korea Exchange (hereinafter referred to as the “Exchange”) to provide information on socially responsible investment bond.
8. The term “principles of socially responsible investment bond, etc.” means principles, standards, guidelines, etc. established by the state, international organizations, or reputable private organization (referring to the International Capital Market Association and the Climate Bonds Initiative, etc.) in relation to Socially responsible investment bond.
9. The term “socially responsible investment bond framework” means a document in which an issuer describes core components specified in the socially responsible investment bond

principles and other necessary matters in order to issue and manage socially responsible investment bonds.

10. The term “external reviewers” means those with expertise that meet requirements pursuant to the Guidelines for Green, Social, Sustainability, and Sustainability-Linked Bonds External Reviews of the International Capital Market Association or the Climate Bonds Standard of the Climate Bonds Initiative.

§3. Bonds for registration

Debt securities eligible for the registration in the dedicated segment shall be those for which applications are submitted by corporations that listed the relevant debt securities. (Amended on September 20, 2022)

§4. Registration requirements

(1) Debt securities applying for the registration in the dedicated segment shall meet all of requirements in the following subparagraphs: (Amended on September 20, 2022)

1. Debt securities shall be listed on the KOSPI market;
2. Debt securities shall correspond to any of the following Items:
 - (a) In the case of green bond, it shall meet the Green Bond Guidelines jointly established by the Financial Services Commission and the Ministry of Environment, the Green Bond Principles of the International Capital Market Association, the Climate Bonds Standard of the Climate Bonds Initiative, or other principles, etc. for socially responsible investment bonds recognized by the Exchange;
 - (b) In the case of social bond, it shall meet the Social Bond Principles of the International Capital Market Association or other principles, etc. for socially responsible investment bonds recognized by the Exchange;
 - (c) In the case of sustainability bond, it shall meet the Sustainability Bond Principles of the International Capital Market Association or other principles, etc. for socially responsible investment bonds recognized by the Exchange; and
 - (d) In the case of sustainability-linked bonds, it shall meet the Sustainability-Linked Bonds Principles of the International Capital Market Association or other principles, etc. for socially responsible investment bonds recognized by the Exchange.

§5. Registration application

(1) If a debt securities-listed corporation intends to register debt securities in the dedicated segment, it shall submit to the Exchange all of the documents in each of the following

subparagraphs: (Amended on November 23, 2021; September 20, 2022)

1. Registration application in the Annex: Form No. 1;
2. Socially responsible investment bond framework;
3. Document falling under any of the following Items;
 - (a) For use-of- proceeds bonds, documents stating the intended use of proceeds;
 - (b) For Sustainability-linked bonds, investment prospectus (Regardless of the name of investment prospectus, investment contract, acquisition contract, etc., it shall refer to supplementary documents that are practically helpful in determining the financial or structural characteristics of sustainability-linked bonds in addition to the socially responsible investment bond framework: the same shall apply hereinafter);
4. External review documents that fall under any of the following sub-items issued by external reviewers for the socially responsible investment bonds framework of a debt securities-listed corporation (It may be substituted by a confirmation letter signed by the representative director of the concerned debt securities-listed corporation if the Exchange deems it necessary). In such case, the documents in the following sub-items are defined in accordance with the Guidelines for Social bonds External Reviews of the International Capital Market Association:
 - (a) Second party opinion;
 - (b) Verification;
 - (c) Certification; and
 - (d) Scoring/Rating.

(2) Notwithstanding Paragraph 1, the submission of the relevant documents may be waived if the Exchange deems it not necessary in consideration of the use of proceeds of the funds raised and the socially responsible investment bond framework . (Amended on September 20, 2022)

§6. Decision of registration

(1) Upon the receipt of the application for registration pursuant to [§5], the Exchange shall decide without delay whether to register in the dedicated segment. However, if it is necessary to correct or supplement the submitted documents, or if there is other unavoidable circumstances, the registration decision shall be made when such circumstances are resolved. (Amended on September 20, 2022)

(2) Upon the decision to register pursuant to Paragraph (1), the Exchange shall classify the

debt securities according to the following subparagraphs:

1. Green bond;
2. Social bond;
3. Sustainability bond; and
4. Sustainability-linked bonds.

§7. Information disclosure following registration

(1) [Deleted on September 20, 2022]

(2) The Exchange shall register the information in each of the following subparagraphs related to socially responsible investment bonds in the dedicated segment: (Amended on September 20, 2022)

1. Detailed information of a debt security issue that the Exchange deems it necessary to register, such as name and standard code;
2. Applicable principles (referring to the principles of socially responsible investment bonds corresponding to each Item of [§4, Subparagraph 2]: the same shall apply hereinafter);
3. Marking of the classification of socially responsible investment bonds pursuant to [§6(2)];
4. Documents in [§5(1)2 to 4];
5. Report on annual use of funds raised and impact report in [§8(1)1(a) and (b)];
6. Performance report and external review report in [§8(1)2]; and
7. Other reference materials including press releases submitted to the Exchange by the debt securities-listed corporation concerned in relation to the registration of socially responsible investment bonds.

§8. Ongoing registration requirements

(Amended on November 23, 2021; September 20, 2022)

(1) A debt securities-listed corporation that has registered socially responsible investment bonds in the dedicated segment shall submit documents in each of the following Subparagraphs to the Exchange: (Amended on November 23, 2021; September 20, 2022)

1. In the case where registered debt securities are use-of-proceeds bonds: Documents in each of the following Items. In such case, documents in Item (b) may be included in the contents of documents in Item (a);
 - (a) Report on the use of proceeds that contains the detailed use of funds raised during the year; and
 - (b) Impact report that states the expected or achieved effect. Performance report that contains details of annual key performance indicators
 2. In the case where registered debt securities are sustainability-linked bonds: Performance report that contains the performance of annual key performance indicators and the measurements of sustainability performance targets and external review report that verifies the performance report.
- (2) A debt securities-listed corporation shall submit the report on the use of proceeds under Paragraph (1)1(a) in accordance with the following Items by the time the expenditure of the raised funds are completed. [September 20, 2022]
1. Case where the report on the use of proceeds is submitted for the first time: The report on the use of proceeds shall be submitted by the end of the year following the year in which the issuance date of the relevant use-of-proceeds bonds falls. Provided that, in cases where the concerned use-of-proceeds bonds are delisted due to maturity, repayment before maturity, etc., the report on the use of proceeds shall be submitted by the date of delisting; and
 2. Case where the report on the use of proceeds is submitted after the submission under subparagraph 1: The report on the use of proceeds shall be submitted by the end of each year following the year in which the report on the use of proceeds is submitted pursuant to Subparagraph 1. Provided that, in cases where the concerned use-of-proceeds bonds are delisted due to maturity, repayment before maturity, etc., the report on the use of proceeds shall be submitted by the date of delisting.
- (3) A debt securities-listed corporation shall submit the impact report under Paragraph (1)1(b) at least once from the time of completing the expenditure of the raised funds to the date of delisting. [September 20, 2022]
- (4) A debt securities-listed corporation shall submit the performance report and the external review report under Paragraph (1)2, including those of the year in which the final date of judgement (referring to the date on which whether the sustainability performance targets are achieved is judged regardless of the name of judgement date, observation date, etc.) for the sustainability performance targets defined in the socially responsible investment bond framework or the investment prospectus, in accordance with each of the following Items. [September 20, 2022]

1. Case where the performance report and the external review report are submitted for the first time: The performance report and the external review report shall be submitted by the end of the year following the year in which the issuance date of the relevant sustainability-linked bonds falls. Provided that, in cases where the concerned sustainability-linked bonds are delisted due to maturity, repayment before maturity, etc., the report on the use of proceeds shall be submitted by the date of delisting; and
2. Case where the performance report and the external review report is submitted after the submission under subparagraph 1: The performance report and the external review report shall be submitted by the end of each year following the year in which the report on the use of proceeds is submitted pursuant to Subparagraph 1. Provided that, in cases where the concerned sustainability-linked bonds are delisted due to maturity, repayment before maturity, etc., the report on the use of proceeds shall be submitted by the date of delisting.

(5) A debt securities-listed corporations that submits the report on the use of proceeds under Paragraph (1)1(a) and the performance report and external review report under Paragraph (1)2 shall state the matters specified by the Exchange such as the classification of the relevant reports by submission period, the used amount of funds raised, the level of achievement of the sustainability performance targets in such reports. [November 23, 2021] (Moved from Paragraph (2) on September 20, 2022)

(6) Notwithstanding Paragraphs (1) and (2), the Exchange may waive the submission of the report on the use-of-proceeds bonds or set the submission deadline differently considering the time and details of the use of raised funds of the use-of-proceeds bonds. (Moved from Paragraph (3) on September 20, 2022)

§9. Revocation of registration

(1) In cases where the debt securities registered in the dedicated segment fall under any of the following subparagraphs, the Exchange shall revoke the registration of their dedicated segment: (Amended on November 23, 2021; September 20, 2022)

1. Case where the debt securities-listed corporation applies for the withdrawal of registration;
2. Case where the debt securities concerned are delisted from the KOSPI market;
3. Case where the use of raised funds of the use-of-proceeds bonds does not comply with the relevant standards.
4. Case where a debt securities-listed corporation failed to submit either the report on the use of proceeds under [§8(1)1(a)] and the impact report under [§8(1)1(b)] to the Exchange within the submission deadline;
5. Case where a debt securities-listed corporation failed to submit either the performance

report or the external review report under [§8(1)2] to the Exchange within the submission deadline; and

6. Other cases where the Exchange deems it necessary to revoke registration for public interest and investor protection.

(2) In cases where any event under each Subparagraph of Paragraph (1), the Exchange may disclose such event in the dedicated segment. [November 23, 2021]

(3) In cases where a debt securities-listed corporation wishes to withdraw its registration pursuant to paragraph (1)1, it shall submit an application in [Annex: Form No.2] to the Exchange. [November 23, 2021]

§10. Supplementary provisions

Matters not specified in these Guidelines in relation to the operation of the dedicated segment shall be decided by the President of the KOSPI Market Division.

ADDENDUM

(Dec. 31, 2019)

These Guidelines shall be effective on June 15, 2020.

ADDENDUM

(Jan. 22, 2021)

These Guidelines shall be effective on February 1, 2021.

ADDENDA

(Nov. 23, 2021)

§1. Effective Date

These Guidelines shall be effective on November 29, 2021.

§2. Application of Registration

The amended provision of [§5(1)1] shall be applied from the registration application for the dedicated segment after the effective date of these Guideline.

ADDENDA

(September 20, 2022)

§1. Effective Date

These Guidelines shall be effective on November 26, 2022.

§2. Application of Registration

The amended provision of [Annex: Form No.1] shall be applied from the registration application for the dedicated segment after the effective date of these Guideline.

(Amended on January 22, 2021; November 23, 2021; September 20, 2022)

Application for Dedicated Segment Registration of Socially Responsible Investment Bonds

To the Chairperson of the Korea Exchange:

Ref: Head of Bond Market Department

Date of application: mm/dd/yyyy

Corporate name of applicant:

Name & Seal/Signature of Representative:

In accordance with Article 5 of the "Guidelines for the Operation of Segment Dedicated to Socially Responsible Investment Bonds" of the Korea Exchange, _____ (Company name) hereby applies for the registration on the segment dedicated to Socially Responsible Investment Bonds as follows:

1. Debt securities to register

- Issue name:
- Type of the socially responsible investment bond:
 - ☐ Green Bond ☐ Social Bond
 - ☐ Sustainability Bond ☐ Sustainability-Linked Bond
- Governing principles of Socially Responsible Investment Bonds, etc.¹⁾:
 - ☐ ICMA Green Bond Principles ☐ CBI Climate Bond Standard
 - ☐ Green Bond Guidelines of the Financial Services Commission and the Ministry of Environment ☐ ICMA Social Bond Principles ☐ ICMA Sustainability Bond Guidelines ☐ ICMA Sustainability-Linked Bond Principles ☐ Other ()
- For sustainability-linked bond, key performance indicators and judgement date (observation date)
- Name of the external review institutions²⁾:
- Name of the management company³⁾:

2. Required documents for submission (in PDF format)

- Socially responsible investment bond framework
- Document related to the use of raised funds⁴⁾ (limited to use-of-proceeds bonds)
- Investment prospectus (limited to sustainability-linked bonds)
- External assessment documents issued by external institutions (or a confirmation letter signed by the representative director)⁵⁾

- Additional documents including press releases indicating the intention to be registered on the dedicated segment

Appendix: Segment Registration Agreement Dedicated to Socially Responsible Investment Bonds

Notes:

- 1. In the event where there are two (2) governing principles/guidelines for each Socially Responsible Investment Bond, please indicate all of them (e.g. In the event where there is an external assessment that a socially responsible investment bond framework encompassing the Green/Social/Sustainability Bonds corresponds to all of the principles/guidelines, etc. of the ICMA and the Financial Services Commission and the Ministry of Environment of Korea, please tick in the 'ICMA Green Bond Principles' and the 'Green Bond Guidelines of the Financial Services Commission and the Ministry of Environment of Korea' when registering for the Green Bond, the 'ICMA Social Bond Principles' when registering for the Social Bond, and the 'ICMA Sustainability Bond Guidelines' when registering for the Sustainability Bond.)].*
- 2. In the event there is more than one (1) external assessment institution, please provide up to two (2).*
- 3. In the event where there is more than one (1) management company, please provide up to three (3).*
- 4. The management system for the Socially Responsible Investment Bond of the debt securities-listed corporation may be submitted in lieu thereof.*
- 5. Refers to the Second party opinion, verification, certification, and scoring/rating(in case where acknowledged as necessary by the Exchange, a confirmation letter signed by the representative director of the debt securities-listed corporation may be submitted in lieu thereof).*

Agreement for Segment Registration Dedicated to Socially Responsible Investment Bonds

To Korea Exchange:

_____ (*name of debt securities-listed corporation*) (hereinafter the “Company” or “we”) hereby applies for the registration of (*the preferred name of the issue for registration*) that the Company issued in the segment dedicated to Socially Responsible Investment Bonds (hereinafter referred to as the “dedicated segment”) of the Korea Exchange (hereinafter referred to as the “Exchange”) and agrees to/ confirms the following:

1. We shall indicate the types of debt securities right after the name of debt securities (in Korean: (주)(사)(지)(연), in English: (G)/(S)/(T)/(L)) in order to show that it is a Socially Responsible Investment Bond.
2. The documents related to the use of raised funds submitted to the Exchange adequately states the purposes of the funds of the Socially Responsible Investment Bonds that we apply for the registration.
- 2-2. Investment prospectus submitted to the Exchange properly states the characteristics of financial and structural characteristics of Sustainability-Linked Bonds.
3. The external assessment documents issued by external institutions regarding the Socially Responsible Investment Bond management system comply with the International Capital Market Association's (ICMA) Guidelines for Green, Social, Sustainability, and Sustainability-Linked Bonds External Reviews.
4. We shall faithfully submit documents specified in each Subparagraph of Article 8(1) of the Guidelines for Operation of Segment Dedicated to Socially Responsible Investment Bonds to the Exchange by the date of submission.
5. The Exchange may register the name, logo, related documents, etc. that we submitted for registration application and maintenance of registration. of our corporation on the dedicated segment. We acknowledge that the Exchange is not responsible for any administrative actions, lawsuits, etc. brought by all persons (referring to natural persons, corporations and organizations) who claim that their rights (including intellectual property rights) have been infringed due to the dedicated segment registration.
6. In the case where our debt securities registered on the dedicated segment falls under any of Subparagraphs of Article 9(1) of the Guidelines for Operation of Segment Dedicated to Socially Responsible Investment Bonds, the Exchange may revoke the registration of the dedicated segment of the debt securities concerned and make public the fact on the dedicated segment.
7. We pledge to diligently comply with the Guidelines for Operation of Segment Dedicated to Socially Responsible Investment Bonds (including the amended provisions) of the Exchange

[Annex: Form. No. 2] [Application for revocation of dedicated segment registration of socially responsible investment bonds](#)

(Established on November 23, 2021)

Application for Revocation of Dedicated Segment Registration of Socially Responsible Investment Bonds

To the Chairperson of the Korea Exchange:
Ref: Head of Bond Market Department

Date of application: mm/dd/yyyy

Corporate name of applicant:

Name & Seal/Signature of Representative:

In accordance with Article 9(2) of the "Guidelines for the Operation of Segment Dedicated to Socially Responsible Investment Bonds," of Korea Exchange, _____ (*Company name*) hereby applies for the revocation of the registration on the segment dedicated to Socially Responsible Investment Bonds.

1. Debt securities to revoke

- Name of the issue:
- Standard Code of the issue:
- Desired date to revoke registration: